

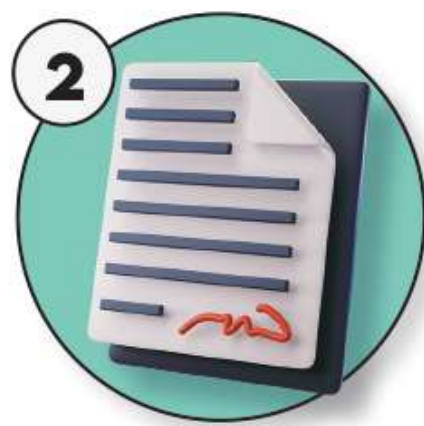
# 1.6 TYPES OF DERIVATIVES

Derivatives contracts are of different types. Each of these different type of derivative contracts has a different purpose. They differ in their construct, risk, reward, payoffs, terms and many more aspects. One needs to pick the correct type of derivative based on what asset class do they want to hedge or trade in.

## THE COMMON TYPES OF DERIVATIVES ARE:



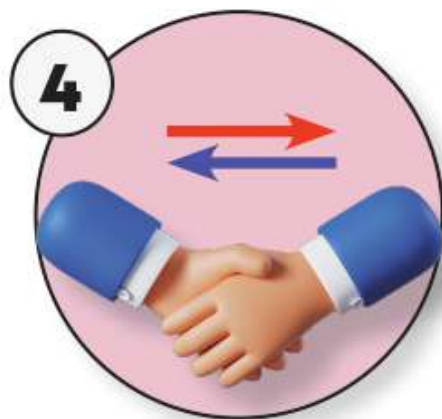
FORWARDS CONTRACT



FUTURES CONTRACT



OPTIONS



SWAPS

Although we have dedicated chapters, in this book, for each of these derivatives, let us quickly understand the basics of these kinds before we move further. Also, in this book, we will mainly focus on Futures and Options from a trading point of view and go in lot of detail for these.